

Cambridge International AS & A Level

★ PREDICTED PAPER — FOR REVISION USE ★

ECONOMICS

9708/02A

Paper 2 AS Level Data Response and Essays

Practice Series 2026

Difficulty: Advanced

2 hours

You must answer on the enclosed answer booklet.

You will need: Answer booklet (enclosed)

INSTRUCTIONS

- Answer three questions in total:
 - Section A: answer Question 1.
 - Section B: answer one question.
 - Section C: answer one question.
- Follow the instructions on the front cover of the answer booklet. If you need additional answer paper, ask the invigilator for a continuation booklet.
- You may use a calculator.
- You may answer with reference to any economy you have studied where relevant to the question.

INFORMATION

- The total mark for this paper is 60.
- The number of marks for each question or part question is shown in brackets [].

This document has 4 pages.

Section A

Answer all parts of question 1.

1 The United States economy: a policy dilemma in 2023–2024

The United States economy has faced an unusual combination of conditions since 2022. Headline CPI inflation peaked at 9.1% in June 2022 — a 40-year high — before declining to 3.2% by October 2023. Nevertheless, 'core' inflation (excluding food and energy) remained persistently above 4%, and the Federal Reserve raised its federal funds target range from 0.00–0.25% in March 2022 to 5.25–5.50% by July 2023. Unemployment remained near historic lows at 3.7%, whilst the labour force participation rate rose back to its pre-pandemic level. Wage growth averaged 4.5% annually, which some economists argued was sustaining inflationary pressure through a 'wage-driven' channel rather than a traditional wage–price spiral.

At the same time, the US dollar appreciated by over 15% against a basket of currencies between January 2022 and October 2023, raising concerns in emerging markets about capital outflows and higher dollar-denominated debt burdens. The Biden administration enacted the Inflation Reduction Act (2022), a \$369 billion package of climate and clean-energy subsidies, and the CHIPS Act, which provided \$52 billion in semiconductor manufacturing subsidies. Critics argued these fiscal measures worked against the Federal Reserve's tightening. Commentators disagreed on whether the US could achieve a 'soft landing' — bringing inflation to target without a recession — or whether a 'hard landing' with higher unemployment was unavoidable.

Table 1.1 United States — key macroeconomic and labour market data

Indicator	2021	2022	2023
Real GDP growth (%)	5.8	1.9	2.5
Headline CPI inflation (% annual avg)	4.7	8.0	4.1
Core CPI inflation (% annual avg)	3.6	6.2	4.8
Unemployment rate (%)	5.4	3.6	3.6
Nominal wage growth (%)	4.9	5.2	4.5
Federal budget deficit (% of GDP)	–12.3	–5.4	–6.3
USD trade-weighted index (Jan 2020=100)	105.3	118.7	121.5

Source: adapted from Bureau of Economic Analysis, BLS, Federal Reserve, 2024

(a) (i) Using Table 1.1, calculate the gap between headline and core CPI inflation in 2022.

[1]

(ii) Identify the trend in the US federal budget deficit between 2021 and 2023.

[1]

(b) Explain, using examples from the data, two reasons why real GDP growth may not be a reliable measure of changes in living standards in the US.

[2]

(c) Consider whether persistent core inflation of 4.8% alongside unemployment of 3.6% indicates that the US economy is operating above its potential output.

[4]

(d) Assess the extent to which the appreciation of the US dollar between 2022 and 2023 would have helped the Federal Reserve reduce US inflation.

[6]

(e) Assess the extent to which simultaneous expansionary fiscal policy (through the Inflation Reduction Act and CHIPS Act) and contractionary monetary policy would make it more difficult for the US to achieve a 'soft landing'.

[6]

Section B

Answer one question.

EITHER

2 (a) With the help of diagrams, explain the concepts of consumer surplus and producer surplus, and consider the effect of a maximum price set below the market equilibrium on the distribution of economic welfare. [8]

(b) Assess the extent to which knowledge of both the price elasticity of demand and the price elasticity of supply is necessary for a government to predict the effects of an indirect tax on a particular market. [12]

OR

3 (a) Explain the difference between a merit good and a public good, and consider why each type of good presents a different type of market failure that justifies government intervention. [8]

(b) Assess whether direct provision by the government is always the most efficient way to correct market failures associated with merit goods such as healthcare and education in a developed economy. [12]

Section C

Answer one question.

EITHER

4 (a) Using an AD/AS diagram, explain the difference between demand-side and supply-side causes of economic growth, and consider which is likely to be a more sustainable source of rising living standards. [8]

(b) Assess the extent to which supply-side policies aimed at raising productivity are the most effective way for a developed economy such as the UK to achieve stable, non-inflationary growth. [12]

OR

5 (a) Explain the difference between a fixed exchange rate, a managed floating exchange rate and a freely floating exchange rate, and consider one advantage of each system for a developed economy. [8]

(b) The Eurozone uses a single currency whilst the UK maintains a floating pound sterling. Assess whether joining a single currency area is always beneficial for a developed economy's macroeconomic stability. [12]

This is a predicted paper produced for student revision purposes. It is not an official Cambridge International paper. All stimulus data are based on publicly available sources and have been simplified for practice use.